

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

COMPLAINANTS' STATUS REPORT

Complainants herein submit this Status Report to make the Commission aware of changes in status regarding the above captioned matter.

As the Commission is aware, on February 8, 2017, complainants docketed their Exceptions to the Presiding Officer's Initial Decision which dismissed, in part, complainants' claims for violations of the Shipping Act of 1984 with respect to respondents' ocean transport of a 2006 Mercedes SL65. Subsequent filings were made by both parties with respect to Complainant's Petition for Leave to Supplement Exceptions, as well as Complainants' Motion for Leave to File a Response/Reply to Respondents' Reply to Petition for Leave to Supplement Exceptions, the last of which was placed on the docket on March 20, 2017.

As of the time of this writing there has been a significant development which has occurred since complainants' last filing docketed on March 20, 2017.

The Commission may recall that the Initial Decision dismissed complainants' claims, in part with respect to the subject Mercedes on the basis that the Presiding Officer found that no contract of carriage existed for the ocean transport of said vehicle inasmuch as the had allegedly

converted said vehicle and assumed ownership of same *prior* to having exported it to Dubai. On this basis, the Presiding Officer determined that the Commission had no jurisdiction over complainants' claims with respect to the Mercedes.

The Commission is aware that there is currently litigation ongoing in Federal Court regarding the very same vehicle (as well as the 2011 Porsche Panamera which is the subject of complainants' claims herein) in the U.S. District Court for the District of New Jersey, captioned as *World Express & Connection, Inc. v. Crocus Investments, LLC et al.* U.S.D.C. -- D.N.J. Docket No.: 2:15-cv-08126-KM-MAH. In the matter of *World Express, supra*, however, the Commission may not be aware that there is also a third-party action against Solovyev, MTL and others alleging claims of fraud and civil conspiracy with respect to the subject vehicles.

The undersigned further writes to inform Commission that the defendants/third-party plaintiffs in the matter of *World Express, supra*, which are represented by the undersigned, recently served a Subpoena for a Deposition upon Written Questions upon the ocean liner known 'Maersk' which transported the subject Mercedes and Porsche¹ from the United States to Dubai and the direction and request of respondent herein, MARINE TRANSPORT LOGISTICS, INC. ("MTL"). Said Subpoena, a copy of which is annexed hereto as Appendix "1", seeks to ascertain the capacity in which MTL shipped said vehicles to Dubai pursuant to MTL's service contract with Maersk. Upon information and belief, said service contract required that MTL certify to Maersk that it was either acting in the capacity of Beneficial Cargo Owner ("BCO") or as NVOCC with respect to all cargo shipped pursuant to the service contract.

To the extent that Maersk's response to the subpoena reveals that MTL was acting in the capacity of NVOCC with respect to the shipment of the Mercedes and Porsche, that information will likely change the outcome and will be material to the Commission's forthcoming decision on

¹ Both of these vehicles were exported from the United States on the same Bill of Lading.

the Exceptions filed by complainants in the instant matter, inasmuch as it may cut against any finding as made by the Presiding Officer (as well as the respondents herein) that MTL had asserted a warehouse lien on said car *prior* to its shipment from the United States to Dubai and that it had allegedly owned the car (by conversion or otherwise) at the time of shipment, and consequently, that it was allegedly not acting as NVOCC and that no jurisdiction exists over complainants' claims herein.

The Commission may be aware that this particular issue was an issue of contention in an unrelated matter (still currently pending before the Commission by way of Exceptions) captioned as *Igor Ovchinnikov, et al, v. Michael Hitrinov a/k/a Michael Khitrinov, et al.* (FMC Docket 15-11)². In the matter of *Igor Ovchinnikov, supra*, and in support of respondents' Motion for Judgment on the Pleadings therein, the respondents argued that the Commission did not have jurisdiction over complainants' claims therein on the alleged basis that the respondent NVOCC was shipping various automobiles as an alleged beneficial cargo owner ("BCO"), and not in the capacity of NVOCC.

As part of the findings of fact in the Initial Decision in the matter of *Igor Ovchinnikov, supra*, the Presiding Officer made a finding of fact that "Empire entered into service contract number 12-535WW with MSC in which Empire certified that its shipper status was that of an NVOCC." (See, Initial Decision, Docket No. 15-11, March 9, 2017, at p. 29, FF#3). This information, together with other facts was sufficient for the Presiding Officer to find that "...it is not appropriate to issue an initial decision on the pleadings finding that Empire did not operate as an NVOCC on the shipments of the cars claimed by Complainants." *Id.* at pp. 50-51.

² That matter has been consolidated with the matter of *Kairat Nurgazinov, v. Michael Hitrinov a/k/a Michael Khitrinov, et al.* FMC Informal Docket 1953(I).

It is respectfully submitted that the conduct of discovery in the matter of *World Express, supra*, has been contentious, and counsel for the respondents herein, which also represent World Express & Connection, Inc., MTL, Aleksandr Solovyev, and others in that the Federal litigation, have sought an Order from the Magistrate Judge quashing said subpoena to Maersk, on the alleged basis that the information sought is not relevant to the claims or defenses in that action, and on the alleged basis that the undersigned has sought to use said Subpoena for purposes of seeking discovery in actions other than *World Express, supra*.

To the extent that that the subject Mercedes and Porsche are at issue in the instant matter and in the matter of *World Express, supra*, it should be noted that *there is no overlap with respect to the claims* asserted in each of these matters. As the Commission is aware, in the instant matter the complainants herein (who are not parties to the aforementioned Federal litigation) have alleged that respondents violated the Shipping Act of 1984 by, *inter alia*, misdelivering the subject vehicles to Dubai where they were subsequently converted.

In the matter of *World Express, supra*, the undersigned's clients have alleged that Solovyev and MTL made fraudulent representations that they were the owners of the subject Mercedes and Porsche in order to induce the undersigned's clients to accept the subject cars for delivery in Dubai; to perform custom clearance of cars; and to store and repair them. That action is an action for fraud and civil conspiracy against MTL and Solovyev where it is additionally alleged that they created false documents such as invoices and bills of lading in order to perpetuate the fraudulent representation that they owned said cars.

Inasmuch as the information sought by the Subpoena may be relevant for the Commission for the reasons stated above regarding the Commission's jurisdiction over complainants' claims, it is also relevant in the Federal litigation for different reasons related to the fraudulent misrepresentations regarding ownership, and as such, the undersigned has opposed counsel's

request for an Order quashing said Subpoena. A copy of the undersigned's correspondence to the Court on that issue is annexed hereto for the Commission's reference as Appendix "2".

As it currently stands, Magistrate Judge Michael A. Hammer will hold oral argument on respondents' request for an Order quashing said subpoena on August 30, 2017 at which time the Court will determine whether the information sought therein is 'relevant' to the allegations of fraud made against MTL, Solovyev, and others in that action.

Again, and for the reasons stated above, the information produced in response to the Subpoena may also be relevant to the Commission's determination as to whether the Presiding Officer was correct in holding that respondents herein owned the subject Mercedes at the time of shipment pursuant to an alleged 'warehouse lien'.

In closing, there may be information forthcoming which may affect the outcome of the Commission's rulings on Complainants' Exceptions to the Presiding Officer's Initial Decision. Consequently the foregoing, along with the attachments annexed hereto are respectfully submitted as same reflect a dramatic 'change in status' of this case with regard to the parties herein so as to inform the Commission of said change in status as same may reflect upon or be determinative of the pending Exceptions.

As always, complainants thank the Commission for its many continuing courtesies and considerations in this case.

Dated: June 21, 2017
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
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Brooklyn, NY 11224
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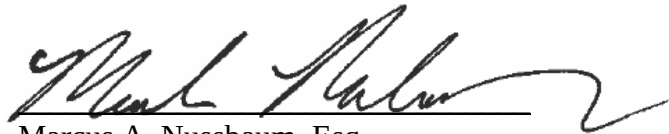
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' STATUS REPORT** upon Respondents' Counsel at the following address:

Montgomery McCracken Walker & Rhoads LLP
437 Madison Avenue, 29th Floor
New York, NY 10022
Attn: Eric Chang, Esq.
Attn: Stephen H. Vengrow, Esq.

Law Office of Peter Cipparulo, III, LLC
346 Route 206, Ste. K
Hillsborough, New Jersey 08844

by first class mail, postage prepaid, and by email to: EChang@mmwr.com; svengrow@mmwr.com; and PeterCipparulo@cipplaw.com.

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: Brooklyn, New York
June 21, 2017

APPENDIX “1”

**UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF NEW JERSEY**

Marcus A. Nussbaum (MN 9581)
P.O. Box 245599
Brooklyn, NY 11224
Telephone: (888)-426-4370
marcus.nussbaum@gmail.com

***Attorney for Defendants and Third-Party
Plaintiffs, CROCUS INVESTMENTS, LLC,
CROCUS FZE, ALEXANDER SAFONOV,
and MIDDLE EAST ASIA ALFA FZE***

WORLD EXPRESS & CONNECTION, INC.,

Plaintiff,

- vs. -

CROCUS INVESTMENTS, LLC, CROCUS FZE,
ALEXANDER SAFONOV, and MIDDLE EAST
ASIA ALFA FZE,

Defendants.

CROCUS INVESTMENTS, LLC, CROCUS FZE,
ALEXANDER SAFONOV, and MIDDLE EAST
ASIA ALFA FZE,

Third-Party Plaintiffs,

-vs.-

MARINE TRANSPORT LOGISTIC INC., ROYAL
FINANCE GROUP, INC., CAR EXPRESS &
IMPORT INC., ALEKSANDR SOLOVYEV,
VADIM ALPER a/k/a DIMITRY ALPER, ALLA
SOLOVYEVA, RAYA BAKHIREV, and ROMAN
CHERNIN,

Third-Party Defendants.

CIVIL ACTION NO.

15-cv-8126 (KM)(MAH)

**SUBPOENA TO TESTIFY AT A DEPOSITION
UPON WRITTEN QUESTIONS IN A CIVIL
ACTION PURSUANT TO FRCP 31**

To: Maersk Line (a/k/a the Maersk Group)
180 Park Avenue, Building 105
PO Box 950
Florham Park, New Jersey 07932

YOU ARE COMMANDED to appear at the time, date, and place set forth below to testify at a deposition upon written questions to be taken in this civil action pursuant to Rule 31 of the Federal Rules of Civil Procedure. If you are an organization, you must designate one or more officers, directors, or managing agents, or designate other persons who consent to testify on your behalf in response to the written questions attached to this Subpoena.

Notice to the person who issues or requests this subpoena

If this subpoena commands the production of documents, electronically stored information, or tangible things before trial, a notice and a copy of the subpoena must be served on each party in this case before it is served on the person to whom it is directed. Fed. R. Civ. P. 45(a)(4).

Place: Law Office of Marcus A. Nussbaum, Esq. P.O. Box 245599, Brooklyn, NY 11224	Date and Time: June 30, 2017 at 9:30 a.m.
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The deposition will be taken by written questions annexed hereto as Attachment "1".

The following provisions of Fed. R. Civ. P. 45 are attached – Rule 45(c), relating to the place of compliance; Rule 45(d), relating to your protection as a person subject to a subpoena; and Rule 45(e) and (g), relating to your duty to respond to this subpoena and the potential consequences of not doing so.

Dated: June 7, 2017



Marcus A. Nussbaum (MN9581)

The name, address, e-mail address, and telephone number of the attorney representing defendants/third-party plaintiffs CROCUS INVESTMENTS, LLC, CROCUS FZE, ALEXANDER SAFONOV, and MIDDLE EAST ASIA ALFA FZE, who issues or requests this subpoena, is Marcus A. Nussbaum, Esq., P.O. Box 245599, Brooklyn, NY 11224; Tel: 201-956-7071; Email: marcus.nussbaum@gmail.com.

Notice to the person who issues or requests this subpoena

If this subpoena commands the production of documents, electronically stored information, or tangible things before trial, a notice and a copy of the subpoena must be served on each party in this case before it is served on the person to whom it is directed. Fed. R. Civ. P. 45(a)(4).

Federal Rule of Civil Procedure 45 (c), (d), (e), and (g) (Effective 12/1/13)

(c) Place of Compliance.

(1) For a Trial, Hearing, or Deposition. A subpoena may command a person to attend a trial, hearing, or deposition only as follows:

- (A) within 100 miles of where the person resides, is employed, or regularly transacts business in person; or
- (B) within the state where the person resides, is employed, or regularly transacts business in person, if the person
 - (i) is a party or a party's officer; or
 - (ii) is commanded to attend a trial and would not incur substantial expense.

(2) For Other Discovery. A subpoena may command:

- (A) production of documents, electronically stored information, or tangible things at a place within 100 miles of where the person resides, is employed, or regularly transacts business in person; and
- (B) inspection of premises at the premises to be inspected.

(d) Protecting a Person Subject to a Subpoena; Enforcement.

(1) Avoiding Undue Burden or Expense; Sanctions. A party or attorney responsible for issuing and serving a subpoena must take reasonable steps to avoid imposing undue burden or expense on a person subject to the subpoena. The court for the district where compliance is required must enforce this duty and impose an appropriate sanction—which may include lost earnings and reasonable attorney's fees—on a party or attorney who fails to comply.

(2) Command to Produce Materials or Permit Inspection.

(A) *Appearance Not Required.* A person commanded to produce documents, electronically stored information, or tangible things, or to permit the inspection of premises, need not appear in person at the place of production or inspection unless also commanded to appear for a deposition, hearing, or trial.

(B) *Objections.* A person commanded to produce documents or tangible things or to permit inspection may serve on the party or attorney designated in the subpoena a written objection to inspecting, copying, testing, or sampling any or all of the materials or to inspecting the premises—or to producing electronically stored information in the form or forms requested. The objection must be served before the earlier of the time specified for compliance or 14 days after the subpoena is served. If an objection is made, the following rules apply:

- (i) At any time, on notice to the commanded person, the serving party may move the court for the district where compliance is required for an order compelling production or inspection.
- (ii) These acts may be required only as directed in the order, and the order must protect a person who is neither a party nor a party's officer from significant expense resulting from compliance.

(3) Quashing or Modifying a Subpoena.

(A) *When Required.* On timely motion, the court for the district where compliance is required must quash or modify a subpoena that:

- (i) fails to allow a reasonable time to comply;
- (ii) requires a person to comply beyond the geographical limits specified in Rule 45(c);
- (iii) requires disclosure of privileged or other protected matter, if no exception or waiver applies; or
- (iv) subjects a person to undue burden.

(B) *When Permitted.* To protect a person subject to or affected by a subpoena, the court for the district where compliance is required may, on motion, quash or modify the subpoena if it requires:

- (i) disclosing a trade secret or other confidential research, development, or commercial information; or

(ii) disclosing an unretained expert's opinion or information that does not describe specific occurrences in dispute and results from the expert's study that was not requested by a party.

(C) *Specifying Conditions as an Alternative.* In the circumstances described in Rule 45(d)(3)(B), the court may, instead of quashing or modifying a subpoena, order appearance or production under specified conditions if the serving party:

- (i) shows a substantial need for the testimony or material that cannot be otherwise met without undue hardship; and
- (ii) ensures that the subpoenaed person will be reasonably compensated.

(e) Duties in Responding to a Subpoena.

(1) Producing Documents or Electronically Stored Information. These procedures apply to producing documents or electronically stored information:

(A) *Documents.* A person responding to a subpoena to produce documents must produce them as they are kept in the ordinary course of business or must organize and label them to correspond to the categories in the demand.

(B) *Form for Producing Electronically Stored Information Not Specified.* If a subpoena does not specify a form for producing electronically stored information, the person responding must produce it in a form or forms in which it is ordinarily maintained or in a reasonably usable form or forms.

(C) *Electronically Stored Information Produced in Only One Form.* The person responding need not produce the same electronically stored information in more than one form.

(D) *Inaccessible Electronically Stored Information.* The person responding need not provide discovery of electronically stored information from sources that the person identifies as not reasonably accessible because of undue burden or cost. On motion to compel discovery or for a protective order, the person responding must show that the information is not reasonably accessible because of undue burden or cost. If that showing is made, the court may nonetheless order discovery from such sources if the requesting party shows good cause, considering the limitations of Rule 26(b)(2)(C). The court may specify conditions for the discovery.

(2) Claiming Privilege or Protection.

(A) *Information Withheld.* A person withholding subpoenaed information under a claim that it is privileged or subject to protection as trial-preparation material must:

- (i) expressly make the claim; and
- (ii) describe the nature of the withheld documents, communications, or tangible things in a manner that, without revealing information itself privileged or protected, will enable the parties to assess the claim.

(B) *Information Produced.* If information produced in response to a subpoena is subject to a claim of privilege or of protection as trial-preparation material, the person making the claim may notify any party that received the information of the claim and the basis for it. After being notified, a party must promptly return, sequester, or destroy the specified information and any copies it has; must not use or disclose the information until the claim is resolved; must take reasonable steps to retrieve the information if the party disclosed it before being notified; and may promptly present the information under seal to the court for the district where compliance is required for a determination of the claim. The person who produced the information must preserve the information until the claim is resolved.

(g) Contempt.

The court for the district where compliance is required—and also, after a motion is transferred, the issuing court—may hold in contempt a person who, having been served, fails without adequate excuse to obey the subpoena or an order related to it.

ATTACHMENT "1"

Kindly review the following attached exhibit which pertains to the deposition questions listed below:

Exhibit "A" Non-Negotiable Waybill numbered 560777509 for the shipment of a 2006 Mercedes Benz SL65 VIN# WDBSK79F86F113072 (the "Mercedes") and a 2011 Porsche Panamera VIN# WP0AA2A75BL017399 (the "Porsche"), identifying Service Contract No. 644011.

Questions 1-8: The following eight (8) questions seek to ascertain the capacity in which the third-party defendant herein, MARINE TRANSPORT LOGISTIC INC. ("MTL") had acted in its relationship with Maersk Line ("Maersk") with respect to the cargo identified in the Non-Negotiable Waybill in Exhibit "A":

1. Did Maersk ever have any carrier/shipper relationship with MTL with respect to the shipments identified in Exhibit "A"?
2. Please state the basis for listing MTL as shipper of record on the Non-Negotiable Waybill for the shipments identified in Exhibit "A" (i.e. who provided the instructions to Maersk to identify MTL as shipper of record).
3. Please explain the nature of the relationship between of MTL and Maersk with respect to this shipment (i.e. explain whether MTL is the beneficial cargo owner of the Porsche ("BCO"), or is acting as a freight forwarder ("FF") or non-vessel-operating-common-carrier ("NVOCC")).
4. Please explain the nature of the relationship between of MTL and Maersk with respect to this shipment (i.e. explain whether MTL is the beneficial cargo owner of the Mercedes ("BCO"), or is acting as a freight forwarder ("FF") or non-vessel-operating-common-carrier ("NVOCC")).
5. Please identify the person that provided Maersk with documents required by Maersk for the shipment of this cargo, such as invoices, shipping instructions, House Bills of Lading, Master Bills of Lading, and the like, and please provide copies of any such documents provided to Maersk.
6. Please identify the person that corresponded with Maersk regarding the shipment of this cargo, and please provide copies of any such correspondence with Maersk.
7. With respect to any existing Maersk service contract(s) that apply to this shipment, and with specific regard to any shipper status certifications existing therein, do these certifications identify the shipper as: an NVOCC; BCO; or a shipper association?
8. Pursuant to the terms to any existing Maersk service contract(s) that apply to these shipments, and with specific regard to any shipper status certifications existing therein: if the shipper has been identified as an NVOCC, has the shipper provided proof of its status as an NVOCC to Maersk?
9. Please explain the meaning of the notation: "Outward Forwarders reference EO-23147" on page "2" the Non-Negotiable Waybill.

Exhibit “A”

**MAERSK
LINE****NON-NEGOTIABLE WAYBILL**

SCAC MAEU

B/L No. 560777509

Shipper
MARINE TRANSPORT LOGISTICS INC
63 NEW HOOK ROAD
BAYONNE NJ
07002 UNITED STATES

Booking No.
560777509

Export references
EO-23147

Svc Contract
644011

Consignee
MIDDLE EAST ASIA ALFA FZC
ANDREY TRETIYKOV
CORNICHE TOWER
FLAT 2208, AJMAN, UAE
Tell. +971 6 7454179
Cell. +971 56 1440911

Notify Party
SAME AS CONSIGNEE

This contract is subject to the terms and conditions, including the law & jurisdiction clause and limitation of liability & declared value clauses, of the current Maersk Line Bill of Lading (available from the carrier, its agents and at www.maerskline.com), which are applicable with logical amendments (mutatis mutandis). To the extent necessary to enable the Consignee to sue and to be sued under this contract, the Shipper on entering into this contract does so on his own behalf and as agent for and on behalf of the Consignee and warrants that he has the authority to do so. The shipper shall be entitled to change the Consignee at any time before delivery of the goods provided he gives the Carrier reasonable notice in writing. Delivery will be made to the Consignee or his authorised agent on production of reasonable proof of identity (and, in the case of an agent, reasonable proof of authority) without production of this waybill. The Carrier shall be under no liability whatsoever for misdelivery unless caused by the Carrier's negligence.

Onward inland routing (Not part of Carriage as defined in clause 1. For account and risk of Merchant)

Place of Receipt. Applicable only when document used as Multimodal Waybill

Place of Delivery. Applicable only when document used as Multimodal Transport B/L (see clause 1)

Vessel
MAERSK MEMPHIS

Voyage No.
1305

Port of Loading
NEW YORK, NY, US

Port of Discharge
JEBEL ALI, UNITED ARAB EMIRATES

PARTICULARS FURNISHED BY SHIPPER

Kind of Packages; Description of goods; Marks and Numbers; Container No./Seal No.

Weight
4882.47 KGS

Measurement

1 Container Said to Contain 2 UNITS

2006 MERCEDES-BENZ SL-CLASS SL65 AMG; SL65 AM
VIN# WDBSK79F86F113072
2011 PORSCHE PANAMERA BASE; 4
VIN# WPOAA2A75BL017399

X20130821010350

TCKU9589649 40 DRY 9'6 2 UNITS 4882.47 KGS
Shipper Seal : 7269874

THESE COMMODITIES, TECHNOLOGY, OR SOFTWARE WERE EXPORTED FROM THE
UNITED STATES IN ACCORDANCE WITH THE EXPORT ADMINISTRATION REGULATIONS.

DIVERSION CONTRARY TO U.S. LAW PROHIBITED.
SHIPPER'S LOAD, STOW, WEIGHT AND COUNT
FREIGHT PREPAID
CY/CY

Above particulars as declared by Shipper, but without responsibility of or representation by Carrier.

Freight & Charges

Rate

Unit

Currency

Prepaid

Collect

Carrier's Receipt. Total number of containers or
packages received by Carrier.

1 container

Shipped on Board Date (Local Time)
2013-08-24

Place of Issue of Waybill
Charlotte

Date Issue of Waybill
2013-09-12

Declared Value Charges (see clause 7.3 of the Maersk Line Bill of
Lading) for Declared Value of US\$

Shipped, as far as ascertained by reasonable means of checking, in apparent good order and
condition unless otherwise stated herein the total number or quantity of Containers or other
packages or units indicated in the box opposite entitled "Carrier's Receipt"

Signed for the Carrier A.P. Møller - Maersk A/S trading as Maersk Line



Maersk Agency U.S.A., Inc - Charlotte CRC
As Agent(s) for the Carrier

This transport document has one or more numbered pages



APPENDIX “2”

MARCUS A. NUSSBAUM, ESQ.

P.O. Box 245599, Brooklyn, NY 11224

Tel: 888-426-4370 | Fax: 347-572-0439

Email: marcus.nussbaum@gmail.com

Web: www.nussbaumlawfirm.com

Via ECF

June 18, 2017

Magistrate Judge Michael A. Hammer
United States District Court
District of New Jersey
50 Walnut Street, Room MLK 2C
Newark, NJ 07101

Re: *World Express & Connection, Inc. v. Crocus Investments, LLC et al.*
U.S.D.C. – D.N.J., 2:15-cv-08126-KM-MAH

Dear Magistrate Judge Hammer,

As Your Honor is aware, I represent defendants/third-party plaintiffs Crocus Investments, LLC, Crocus FZE, Alexander Safonov, and Middle East Asia Alfa FZE (“third-party plaintiffs”) in the above referenced matter. I am in receipt of the letter of June 16, 2017 by Mr. Vengrow to the Court, constituting a presentation of a myriad of issues ranging from simple untruths to patent absurdities, and respond as briefly as possible herein to same. In order to avoid further burdening the Court with additional correspondence under separate cover, I also write to the Court with respect to third-party plaintiffs’ request for leave to file a motion to compel the plaintiff and third-party defendants to respond to third-party plaintiffs’: (i) Requests for Admissions; (ii) Requests for the Production of Documents, and (iii) Interrogatories, inasmuch as the same issue of ‘relevance’ raised in Mr. Vengrow’s missive¹ also applies to said discovery.

1. The Discovery Sought by Third-Party Plaintiffs in the Non-Party Subpoena

In the first instance, and to the extent that Mr. Vengrow’s letter is unclear and could be interpreted as stating that the undersigned allegedly refused to provide proof of service of the subject Subpoena served upon the ocean liner known as “Maersk”, the Court is respectfully asked

¹ To the extent that counsel’s letter is signed by Mr. Vengrow and states on page “1” that he is available June 27 – June 30, 2017 for a telephonic conference with the Court, it should be noted that during the telephonic ‘meet and confer(s)’ that took place between counsel, it was *not* Mr. Vengrow who claimed to be unavailable until June 27, 2017, but rather Mr. Chang, who explained to the undersigned that he is out of the office and returning on June 26, 2017.

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to note that as of the time of this writing, confirmation of service has not yet been received by my law office - - this was explained to counsel during the telephonic ‘meet and confer’ that took place on June 15, 2017.

With regard to counsel now apparently having sought to “quash” said Subpoena, as set forth below, this application should be denied. To the extent that counsel’s description of the discovery sought by the Subpoena is vague and unclear, kindly allow the following to further inform the Court on the precise nature of the discovery sought by said subpoena, as well as the relevance of said discovery.

The Subpoena for a Deposition on Written Questions (annexed to Mr. Vengrow’s letter as Exhibit “A”) contains a copy of a Non-Negotiable Waybill issued by the ocean liner known as “Maersk” for the shipment of a 2006 Mercedes Benz SL65 (the “Mercedes”)² and a 2011 Porsche Panamera (the “Porsche”). The Waybill, which third-party plaintiffs received from Maersk in Dubai, also contains a reference identifying a Service Contract (No. 644011) pursuant to which third-party defendant Marine Transport Logistic Inc. (“MTL”) does business with Maersk.

The Subpoena contains a list of nine (9) questions which seek discovery on two main issues: (a) the identity of the person(s) at MTL that Maersk dealt with when the Mercedes and Porsche were exported to Dubai by MTL; and (b) the capacity in which MTL was acting with respect to Maersk at the time the subject vehicles were shipped - - in other words, the Subpoena seeks to ascertain whether MTL was shipping the cars as a beneficial cargo owner (“BCO”) or if

² Conspicuously absent from counsel’s letter is any reference whatsoever to the subject Mercedes, which for the reasons set forth below may be an uncomfortable issue for third-party defendants and their counsel to discuss, and which is also currently the subject of motion practice in the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.*, before the Honorable Judge Sandra. L. Townes in the U.S. District Court for the Eastern District of New York. As explained below, and with respect to the Mercedes, it is alleged that third-party defendants and their counsel have committed a fraud upon the Court and as a result thereof, that plaintiffs in that case are entitled to re-open discovery and obtain relief from the Court’s Order dismissing plaintiffs’ RICO claims.

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it was acting in the capacity of a Non-Vessel Operating Common Carrier (“NVOCC”) in which it was shipping the cars for someone else who allegedly owned them.

The Court is further respectfully asked to note that it is common practice and custom in the shipping industry for service contracts such as the one at issue to contain a clause, wherein the shipper identified on the Waybill or Bill of Lading (in this case MTL) is required to certify to the ocean liner (Maersk) whether it is acting as BCO, NVOCC, or Shipper’s Association with respect to all cargo shipped pursuant to the contract. Against this backdrop, and as set forth below, the ‘relevance’ of the discovery sought by the Subpoena and the other discovery demands served upon plaintiff and third-party defendants now becomes clear.

2. The Discovery Is Relevant to the Claims Alleged by Third-Party Plaintiffs

On the issue of third-party plaintiffs’ claims against the third-party defendants herein, what counsel has disingenuously attempted to argue is that the claim is limited to “...non-payment of alleged services and repairs provided by [third-party plaintiffs]...” - - this is incorrect and is an attempt by counsel to shoehorn the facts to fit their preconceived and ill-founded notion that the nature of this action is distilled down to a simple claim for monies owed for storage and repair of the cars by Middle East Asia Alfa FZE (“MEAA”) in Dubai.

Counsel’s studious ignorance of the allegations in the Third-Party Complaint does not change the fact that the third-party action is an action for among other things, fraud and civil conspiracy, wherein it is alleged that: (1) the third-party defendants were *never* the lawful owners of the Mercedes and Porsche (which were in fact stolen by them from plaintiffs in the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.*, U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110); (2) the third-party defendants fraudulently represented to third-party plaintiffs that they were the owners of the cars, and that after the cars were repaired, they would be sold and third-

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party defendants would receive a share of the proceeds from the sale; (3) this false representation was made in order to induce third-party plaintiffs to receive the cars at MEAA's storage facility in Dubai, store them, and perform repairs; (4) third-party plaintiffs did in fact receive, store, and repair the cars, expending approximately \$50,000.00 of their own money in the process; and (5) third-party defendant Solovyev subsequently orchestrated the theft of the cars from MEAA's facility in Dubai.

It is well settled that "relevance" within the scope of discovery is construed broadly. *See*, The Advisory Committee Note to Rule 26(b); *see also*, *Oppenheimer Fund, Inc. v. Sanders*, 437 U.S. 340, 351 (1978). Despite counsel's professed (albeit, disingenuous) inability to discern the 'relevance' of the discovery sought by Subpoena, it is axiomatic that knowledge and information concerning representations made by MTL to Maersk with respect to the capacity in which it was shipping the cars (as BCO or otherwise), as well as information regarding Solovyev, his business, his methods and standards of operations, and claims of similar (if not identical) acts of misfeasance and malfeasance, improper business practices, and violations of numerous areas of maritime law would certainly not only go *directly* to Mr. Solovyev's credibility at the time of trial, but would also fall well within the broad penumbra of information that is "material and necessary" to the defense of plaintiffs' claims against the defendants/third-party plaintiffs herein, as well as the prosecution of third-party plaintiffs' claims against Solovyev, *et al.*

The foregoing argument regarding 'relevance' also applies to the discovery demands served by third-party plaintiffs upon the plaintiff and third-party defendants is also applicable inasmuch as the plaintiff and third-party defendants having lodged objections to said demands based upon 'relevance'. Consequently, third-party plaintiffs now seek leave of the Court to file a motion to compel the plaintiff and third-party defendants to respond to third-party plaintiffs': (i) Requests

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for Admissions; (ii) Requests for the Production of Documents, and (iii) Interrogatories.

3. Efforts to Meet and Confer

In response to the undersigned having served the various discovery demands described herein, counsel emailed the undersigned on May 31, 2017. Conspicuously absent from counsel's letter to this Court is the fact that said email (annexed to Mr. Vengrow's letter as Exhibit "B") was *not* a request to 'meet and confer' on discovery issues, but rather a unilateral demand that the undersigned: (1) "...withdraw or revise..." said discovery demands; and (2) withdraw the third-party action against Alla Solovyeva, Raya Bakhirev, and Roman Chernin. Said email also contained a threat of motion practice where plaintiff and third-party defendants would seek "...all appropriate remedies against [the undersigned] and [my] clients, including sanctions."

As set forth in the undersigned's letter of June 5, 2017 (annexed to Mr. Vengrow's letter as Exhibit "C") in response to counsel's email, and which the Court is respectfully urged to read (inasmuch as it details the unclean hands of plaintiff, third-party defendants and their counsel) the undersigned neither takes lightly to threats (albeit frivolous in this case) of sanctions, nor will the undersigned tolerate what amounts to counsels' attempts to interfere with the orderly litigation of this case by use of intimidation tactics.

In an example of ultimate irony, Mr. Vengrow has attempted to denigrate the undersigned, who has, during the course of litigating the matter of *MAVL Capital Inc., supra*, exposed Mr. Solovyev as being a liar, cheat and fraud. Such irony is only heightened by Mr. Vengrow engaging in an epic demonstration of the psychological phenomenon known as "projection", wherein Mr. Vengrow accuses, and has accused the undersigned of wrongdoings in other unrelated matters, when in fact it is Mr. Vengrow who has violated the codes of professional conduct by turning himself into a veritable "garbage man", poring through the refuse of each and every attorney who

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has been an adversary in unrelated matters involving the undersigned.

Without regurgitating the text of the undersigned's letter of June 5, 2017, it should be noted that with respect to the subject Mercedes, and during discovery in the matter of *MAVL Capital Inc., supra*, it was Mr. Vengrow who represented to the undersigned *and the Court*, that the vehicle was sold by third-party defendants to the third-party plaintiffs herein (a claim which is denied by the third-party plaintiffs) and that the proof of such sale was a commercial invoice from Royal Finance Group, Inc. and a wire transfer in the amount of \$4950.00 from third-party plaintiffs herein to third-party defendants.

Notably and with respect to the Mercedes, counsel has engaged in what can only be described as a game of 'situational ethics' as it has suited their individual pecuniary needs, and in the process made various conflicting representations in two different forums regarding the facts under which the Mercedes was shipped to Dubai. In the matter currently pending before the Federal Maritime Commission involving the same parties herein, and which the Court was previously briefed on, counsel has represented in that forum that the aforementioned wire transfer of \$4950.00 was for the purchase of a boat trailer (for the Formula boat which is at issue in the instant action). When the undersigned confronted counsel with their duplicitous representations, counsels' response was to file a frivolous motion for Rule 11 sanctions against the undersigned in the *MAVL* matter, which the Court declined to entertain.

With respect to the telephonic 'meet and confer' that took place on June 7, 2017, the focus of the conference was primarily on Mr. Chang's request from the undersigned for a twenty-one (21) day extension of time to respond to all outstanding discovery (which was due on June 12, 2017). Counsel's letter to the Court claims that the undersigned "...stated during the call that the purchase and export of the 2011 Porsche Panamera was a 'fraud' and allegedly relevant to

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Defendants’ fraud claims” - - not only is this statement inaccurate, but during said call the undersigned explained the reasons why discovery regarding the Porsche and Mercedes is indeed relevant to the instant lawsuit, for the reasons set forth in detail in this letter.

The undersigned also explained to counsel at the time of the conference that this office has received a response to a Subpoena served upon the online auto auction warehouse known as ‘Copart’, which has also confirmed that not only has Solovyev fraudulently created fake invoices on ‘Copart’ letterhead purporting to show Solovyev’s purchase of the Porsche and Mercedes, but that Copart also confirmed that the Copart invoices provided by Solovyev to third-party plaintiffs when the three pleasure boats (which are the subject of this action) were purchased, are also fake.

After having had the opportunity to review the responses by plaintiff and third-party defendants to third party plaintiffs’ Requests for Admissions and Requests for the Production of Documents³, it was ascertained that plaintiff and third-party defendants lodged numerous objections based, *inter alia*, upon relevance grounds. On June 14, 2017, the undersigned wrote a detailed letter to counsel explaining why said responses were deficient and requested that the parties ‘meet and confer’ again on said issues (a copy of which is annexed hereto as Exhibit “A”). A further ‘meet and confer’ on these issues was held on June 15, 2017 at which time counsel explained that they stand on their relevance based objections and would seek a ruling from the Court.

³ As of the time of this writing, the undersigned has not yet received the responses to third-party plaintiffs’ Interrogatories to plaintiff and third-party defendants which were due on June 16, 2017, however, it is anticipated that said responses will contain similar objections based upon relevance. Therefore, third-party plaintiffs reserve their right to address these issues and seek and leave from this Court to file a motion to compel the responses.

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4. Legal Argument – Relevance is Construed Broadly

Pursuant to Federal Rule of Civil Procedure 26(b)(1), “[p]arties may obtain discovery of any nonprivileged matter that is relevant to any party's claim or defense—including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter.” Fed. R. Civ. P. 26(b)(1). Relevance under Rule 26 is “construed broadly to encompass any matter that bears on, or that reasonably could lead to other matter that could bear on, any issue that is or may be in the case.” *See, Oppenheimer Fund, Inc. v. Sanders*, 437 U.S. 340, 351 (1978). Further, “[r]elevant information need not be admissible at the trial if the discovery appears reasonably calculated to lead to the discovery of admissible evidence.” Fed. R. Civ. P. 26(b)(1).

District courts construe Rule 26(b)(1) liberally to provide for a “broad vista of discovery.” *See, Tele-Radio Systems Ltd. v. DeForest Elec., Inc.*, 92 F.R.D. 371, 375 (D.N.J.1981) (Fisher, J.); *see also Horizons Titanium Corp. v. Norton Co.*, 290 F.2d 421, 425 (1st Cir.1961) (“[Rule 26(b)] apparently envisions generally unrestrictive access to sources of information, and the courts have so interpreted it”). Each party is given an opportunity, “to scrutinize all relevant evidence so that each will have a fair opportunity to present its case at trial.” *See, Nestle Foods Corp. v. Aetna Cas. & Sur. Co.*, 135 F.R.D. 101, 104 (D.N.J.1990) (*citing Goldy v. Beal*, 91 F.R.D. 451, 454 (M.D.Pa.1981)). Accordingly, a party seeking to withhold documents that fall within this broad definition must do more than accuse the requesting party of launching a fishing expedition. *See, Hickman v. Taylor*, 329 U.S. 495, 507-08, 67 S.Ct. 385, 392 (1947)(“[n]o longer can the time-honored cry of ‘fishing expedition’ serve to preclude a party from inquiring into the facts underlying his opponent's case”).

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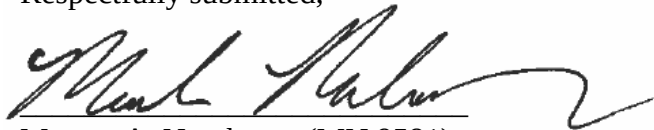
Third-Party plaintiffs respectfully submit that, for the reasons outlined herein and in Exhibit “A”, each of the categories of discovery sought is related to claims and/or defenses in this case and production should therefore be compelled. The balance of Mr. Vengrow’s argument on this issue (and specifically with respect to discovery in the MAVL matter) merits no response inasmuch as it is his unclean hands that has interfered with discovery in the MAVL matter.

In closing, and as set forth above, the discovery sought by third-party plaintiffs is relevant to the claims and allegations set forth in the third-party complaint, regardless of whether or not said discovery may have some relation to other claims in other matters. Counsel’s tortured misconstruction of the facts in this matter does not warrant an Order quashing the subject Subpoena, not does it allow for disingenuous objections the third-party plaintiffs’ discovery demands on the basis of relevance.

Accordingly, for all of the foregoing reasons, it is respectfully requested that plaintiff’s and third-party defendants’ request to quash the non-party Subpoena should be denied in its entirety, and that third-party plaintiffs should be given leave to file a motion to compel discovery.

As always, we thank the Court for its continuing courtesy and consideration of all issues in this matter.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum (MN 9581)

cc: **Via ECF**
All Counsel of Record